

Busted and non-busted performance. The last three lines in the table compare the performance of busted patterns with non-busted ones. Single busted patterns almost always beat the other two combinations, and that's what we see here. The problem with trying to take advantage of this finding is that you have to pick a pattern that single busts. There's a good chance you will according to the upper portion of the table, but it's not a sure thing.

Trading Tactics

[Table 58.10](#) shows trading tactics.

Measure rule, targets. Use the measure rule to find a price target. [Figure 58.6](#) shows an example. Compute the formation height by subtracting the scallop low (point A) from its high (E). Add the difference to the high (E) to get the target price.

In this example, the pattern low is at 3.27, and the high is at 4.61. The difference between the high and low gives the pattern height, or 1.34. Add the height to the high price to get the target: 5.95. Price climbs to that point in mid-March.

The bottom portion of the table shows how often the measure rule works. In the example cited above, the stock is in a bull market and we used the full height in the computation. The table says the method will work 64% of the time on average.